

24STLC03018 24STLC03018

County: los-angeles

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Department: 26

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Case Number: 24STLC03018 Hearing Date: June 25, 2026 Dept: 26

TENTATIVE RULING:

Defendant Trans Telecom Company, Inc. aka Trans Telecom

Company Inc.'s Motion to Compel Mandatory Fee Arbitration and Stay Action is granted. The action is stayed pending arbitration.

Status Conference Re: Arbitration is scheduled for 12/18/2026 at 9:30 am in Department 26 at the Spring Street Courthouse.

Analysis:

On April 24, 2025, Plaintiff Creditors Adjustment Bureau, Inc. ("Plaintiff") filed this action against Defendant Trans Telecom Company, Inc. aka Trans Telecom Company Inc. ("Defendant"). Plaintiff alleges that it is the assignee of Greenberg Glusker Fields Claman & Machtinger LLP ("Greenberg LLP"). (Compl., ¶1.) A proof of non-service was filed by Plaintiff on July 31, 2024. Proof of substitute service of the Summons and Complaint was filed on March 20, 2025. An amended proof of substitute service was filed on April 25, 2025 and the Court entered Defendant's default on the same day.

On May 19, 2025, Defendant filed a Notice of Stay of Proceedings on the grounds of arbitration under Business & Professions Code, section 6201. Defendant then filed a Motion to Set Aside Entry of Default and/or Default Judgment on September 30, 2025. After taking the matter under submission, the Court granted the Motion to Set Aside on November 24, 2025 and vacated the default entered on April 25, 2025. (Minute Order, 11/24/25.)

Defendant

filed an Answer to the Complaint on February 19, 2026, then another Answer through different counsel on February 24, 2026. Defendant filed the instant Motion to Compel Mandatory Fee Arbitration and Stay Action was filed on March 26, 2026. The next day, the Court granted Defendant's ex parte application to stay the proceedings pending its Motion to Compel Mandatory Fee Arbitration and Stay Action. (Minute Order, 03/27/26.) Plaintiff filed its opposition on June 11, 2026 and Defendant replied on June 17, 2026.

Discussion

Background of the Parties' Relationship

In 2022, Defendant hired a law firm, Greenberg LLP, to file a form complaint against a neighboring company in state court to preserve the statute of limitations and attempt to obtain a tolling agreement regarding toxic cleanup on a neighboring company's property. (Motion, Karimi Decl., p. 1:20-25.) Greenberg LLP used the address of the neighboring company, 5977 West Washington Blvd., Culver City, CA 90232, on the engagement letter, instead of Defendant's address, which was 5969 West Washington Blvd., Culver City, CA 90232. (Id. at p. 1:6-13.) On February 16, 2022, Defendant's president sent Greenberg LLP a letter clarifying that its address was 5967-5969 West Washington Blvd., not 5977 West Washington Blvd. (Id. at p. 14-17.) Greenberg LLP then used the correct address when it filed the complaint on Defendant's behalf on February 28, 2022. (Id. at p. 1:18-20.) Defendant terminated its relationship with Greenberg LLP on March 17, 2022. (Id. at p. 2:3-4.) Greenberg LLP mailed Defendant a Notice of Client's Right to Fee Arbitration to the wrong address. (Id. at p. 2:9-12 and Exh. 1.)

Motion to Compel Arbitration

Defendant moves for an order compelling Plaintiff to arbitrate this matter pursuant to the Mandatory Fee Arbitration Act, set forth at Cal. Business & Professions Code section 6201 and the California Arbitration Act, set forth at Code of Civil Procedure section 1281, et seq.

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall

order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for the revocation of the agreement.” (Code Civ. Proc., §§ 1281.2, subds. (a)-(b).)

As with other types of agreements, “[t]he failure of the [party] to carefully read the agreement and the amendment is not a reason to refuse to enforce the arbitration provisions.” (Powers v. Dickson, Carlson & Campillo (1997) 54 Cal.App.4th 1102, 1115.) “California law, ‘like [federal law], reflects a strong policy favoring arbitration agreements and requires close judicial scrutiny of waiver claims.’” (Wagner Const. Co. v. Pacific Mechanical Corp. (2007) 41 Cal.4th 19, 31.)

If the court orders arbitration, then the court shall stay the action until arbitration is completed. (Bus. & Profs. Code, § 6201, subd. (c).)

Under the MFAA, an attorney seeking to recover fees must provide the client with written notice of the right to arbitration and failure to provide this notice prevents the attorney from maintaining an action. (Bus. & Profs. Code, § 6201, subd. (a).) If notice is given as stated in the MFAA, the client may stay the action filing and serving a request for arbitration prior to filing an answer or response. (Bus. & Profs. Code, § 6201, subd. (b).) Failing to request arbitration within 30 days of receipt of the notice also waives the right to arbitration. (Bus. & Profs. Code, § 6201, subd. (b).)

Defendant contends that it did not receive the Notice of Arbitration, which was mailed to the wrong address, but upon receiving a copy of the Complaint in this action on April 1, 2025, it filed a request for fee arbitration with the Beverly Hills Bar Association on April 30, 2025 and paid the associated fee. (Motion, Karimi pp. 2:13-16, 2:25-28 and Exhs. 2-3.) Plaintiff’s opposition offers no evidence to demonstrate that the Notice of Arbitration was served to Defendant’s correct address. (Opp., Brown Decl., ¶¶1-2.) Instead, Plaintiff contends that Defendant’s former attorney, Dennis P. Block, Esq. acknowledged that Defendant was in possession of the Complaint, which attached a copy of the Notice of Arbitration. (Id. at ¶2 and Exh. 1.) Defendant replies that its possession of the Complaint following non-conforming service, as detailed in the ruling on the Motion to Set Aside Default dated November 24, 2025, cannot demonstrate Plaintiff’s compliance with the service requirements of the Notice

of Arbitration.

The Court agrees that Plaintiff did not demonstrate initial service of the Notice of Arbitration in accordance with the requirements under Business & Professions section 6201. Defendant's supporting declaration provides evidence that the Notice of Arbitration was served to the wrong address and Plaintiff fails to overcome the declaration and attached exhibits. Nor is the Court swayed by the decision of the Beverly Hill Bar Association to close the arbitration as untimely requested, to which Plaintiff points. As Defendant argues, that decision was made without the full record regarding improper service of the Summons and Complaint. (See Opp., pp. 3:15-4:1.) The mailing of the Notice of Arbitration to the wrong address does not satisfy the requirement for service under Business & Professions Code section 6201.

Plaintiff also argues that under Business and Professions Code section 6201(b), the client's right to stay the court action is lost if the client participates in the litigation without having filed a request for arbitration and without seeking a stay. Waiver of the right to arbitration exists under section 6201 if the client fails to request arbitration within 30 days after receipt of the notice, or before filing an answer if the Notice of Arbitration was served on the client as required. Plaintiff served Defendant with the Complaint and Notice of Arbitration in this action on January 20, 2026 and the Court deemed service of the Summons and Complaint on that day. (Minute Order, 01/20/26; Proof of Service of Summons, Complaint, filed 01/20/26.)

Defendant, however, had already requested arbitration with the Beverly Hills Bar Association eight months earlier, on April 30, 2026. It was Plaintiff who sought to close that arbitration proceeding after it was opened at Defendant's request. (Reply, Karimi Decl., ¶¶22-23 and Exh. F.) Therefore, the Court finds no waiver of the right to arbitration by Defendant.

Conclusion

Defendant Trans Telecom Company, Inc. aka Trans Telecom Company Inc.'s Motion to Compel Mandatory Fee Arbitration and Stay Action is granted. The action is stayed pending arbitration.

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at 9:30 am in Department 26 at the Spring Street Courthouse.

Moving party to give notice.